How Germany Enforces Sanctions

A Simple Overview

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2026-02-17

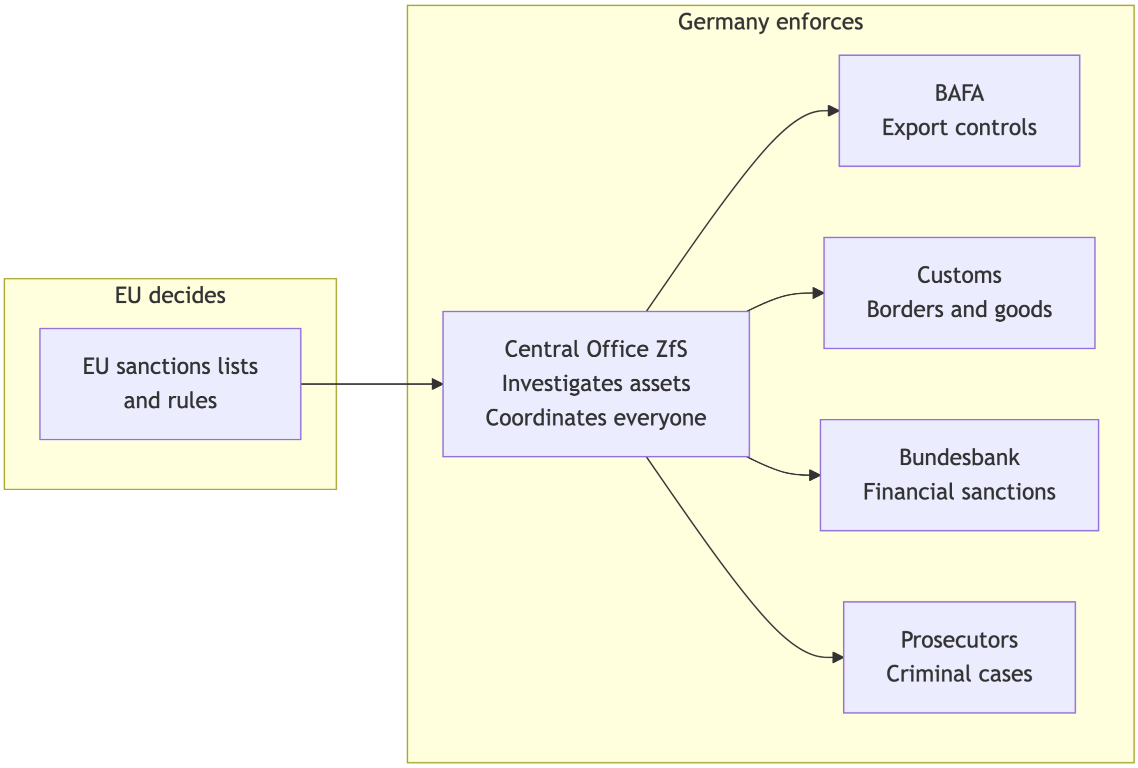
1 What Is This About?

When the EU decides to sanction people or countries (for example, Russia), someone must make sure those sanctions are actually applied. In Germany, this is done through a clear system of laws and a central office that coordinates the work.

> In short
>
> EU sets the rules → Germany enforces them through several authorities → one office (ZfS) coordinates and investigates.

2 Who Does What?

The diagram below shows the main actors and how they work together.

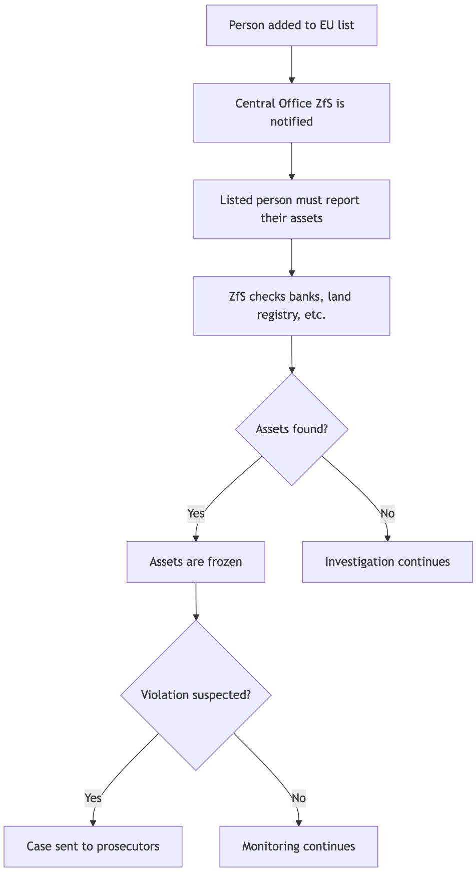


Main actors in German sanctions enforcement

Authority	Role in simple terms
ZfS (Central Office)	Finds and freezes assets of sanctioned persons; coordinates all other bodies
BAFA	Controls exports (e.g. goods that must not go to Russia)
Customs	Checks goods at borders
Bundesbank	Monitors banks and frozen funds
Prosecutors	Bring criminal cases when someone breaks the rules

3 How Does It Work? (Step by Step)

When a person or company is added to the EU sanctions list, this is what happens:



Enforcement flow from listing to prosecution

Key steps: 1. **EU lists** a person or company. 2. **ZfS** asks them to report all assets (under penalty if they don't). 3. **ZfS** checks banks, land registry, and other sources. 4. **Assets are frozen** – the person cannot sell or use them for profit. 5. If someone **breaks the rules**, the case goes to **prosecutors** for criminal proceedings.

4 What Happens If Someone Breaks the Rules?

Who	Consequence
Individuals	Prison (1–5 years or more for serious cases)
Companies	Large fines (up to €40 million for the most serious offences)
Typical offences	Giving money to sanctioned persons, hiding frozen assets, exporting banned goods

5 Why Is the German Model Interesting for Ukraine?

Element	Why it matters
One central office (ZfS)	Avoids confusion; one place coordinates everything
Listed persons must report assets	Makes it harder to hide money
Tip-off centre	Anyone can report suspected violations
Links to anti–money laundering	Helps trace who really owns assets
Strong criminal penalties	Deters people from breaking the rules

6 Where Does the Money Go?

! Freezing is not the same as confiscation

What happens	Where the money goes
Assets are frozen	The person cannot sell or use them. They stay in place. No automatic transfer to the state or Ukraine.
After criminal confiscation	Ownership passes to the German state (StGB §75).
Victim compensation	German law allows injured parties to claim compensation or return of assets (StPO §§459h–459m) if they prove entitlement in time.

There is no German "Ukraine fund" that automatically sends all confiscated Russia-related assets to Ukraine.

Separate EU channel: Revenues from immobilised Russian Central Bank assets go through the EU (e.g. Ukraine Loan Cooperation Mechanism), not through a German domestic fund.

7 Can Ukraine Get Those Assets?

Yes, but only in specific cases

- **Case-by-case:** Ukraine (or Ukrainian entities) can seek compensation or disbursement in criminal confiscation cases if they prove legal entitlement under German procedure (StPO §§459h–459m).
- **Main limitation:** Freezing alone does not create funds for victims. A criminal confiscation or a special allocation mechanism is needed.
- **New EU option:** Directive (EU) 2024/1260 allows Member States to use confiscated assets from sanctions-related crimes to support affected third countries (e.g. Ukraine). This is optional, not automatic.

Practical steps for Ukraine: 1. Focus on **EU extraordinary-revenue channels** (e.g. ULCM) as the most operational route. 2. Push for German use of **Directive 2024/1260, Art. 19(2)** to direct qualifying confiscated assets to Ukraine. 3. Prepare **case-by-case claims** in German courts: evidence of damage, claimant standing, and compliance with StPO procedures. 4. In messaging, clearly separate: (a) frozen assets, (b) criminal confiscation proceeds, (c) EU-level revenues from sovereign-asset immobilisation.

8 Main Takeaways

Note

1. **EU rules apply directly** in Germany – no extra national law is needed for the basic prohibitions.
2. **ZfS** is the hub: it investigates, freezes assets, and coordinates other authorities.
3. **Freezing confiscation** – frozen assets do not automatically go to the state or Ukraine.
4. **Ukraine can receive assets** in criminal confiscation cases if entitlement is proven; EU Directive 2024/1260 offers an additional route.
5. The system was **strengthened in 2022–2026** with new laws and a dedicated central office.

Based on the full analysis: German Sanction Mechanism Analysis (Institute of Legislative Ideas, Feb 2026).